Entrepreneurial Skills

The big idea

An **entrepreneur** is a person who sees an opportunity, takes a **risk**, and starts a business (an **enterprise**) to solve a problem or meet a need. **Entrepreneurship** is the process of doing so. Entrepreneurs create jobs, bring new products and help the economy grow.

Entrepreneurship and society

Entrepreneurs help society by:

- **creating employment** for others;
- **bringing new products and services** that make life easier;
- **using local resources and skills** (e.g. handicrafts, food products);
- **increasing the country's income** and reducing poverty;
- **solving social problems** – affordable sanitary pads, clean drinking water, low-cost solar lights.

LOCAL TO LARGE

A tailor who starts a small boutique, a farmer who sells organic vegetables online, or a student who starts a tiffin service are all entrepreneurs at different scales.

Qualities of a successful entrepreneur

Quality	Meaning
Patience	Business takes time to succeed
Positivity	Sees opportunity in problems
Hard work	Ready to work long hours
Confidence	Believes in the idea and in self
Creativity / innovation	Thinks of new ideas and new ways
Risk-taking	Ready to invest time and money despite uncertainty
Decision-making	Takes timely decisions
Perseverance	Does not give up after failure
Open to learning	Learns from customers and mistakes

Functions of an entrepreneur

1. **Making decisions** – what to sell, where, at what price.
2. **Managing the business** – arranging money (finance), people and materials.
3. **Dividing income** – paying workers, suppliers, rent, and keeping profit.
4. **Taking risks** – bearing possible losses.
5. **Creating demand** – advertising and marketing.
6. **Fulfilling customer needs** – quality products and good service.

Myths about entrepreneurship

COMMON MYTHS

- *"Only rich people can start a business."* – Many start small with savings or loans (e.g. MUDRA loans) and grow.

- *"Entrepreneurs are born, not made."* – Skills can be learned through training and practice.
- *"You need a totally new idea."* – Improving an existing product or service also works.
- *"Entrepreneurs never fail."* – Most face failures and learn from them.

Entrepreneurship as a career option

Like any job, being an entrepreneur is a **career choice**. The career process usually goes: **Start-up → Growth → Expansion** (and maybe diversification). It gives independence, flexibility and the chance to earn more, but also carries risk and uncertainty.

Types of business (revision)

- **Product business** – makes/sells goods (bakery, clothing).
- **Service business** – provides a service (salon, repair shop, tuition).
- **Hybrid business** – both (a restaurant makes food and serves it).

ANSWER WITH AN INDIAN EXAMPLE

In long answers, add an example such as a local dairy, a handicraft shop or a famous start-up to show understanding.

Quick recap

- Entrepreneur = risk-taker who starts an enterprise; entrepreneurship = the process.
- Society gains jobs, products, income and solutions.
- Qualities: patience, positivity, hard work, confidence, creativity, risk-taking, decision-making.

- Functions: decisions, managing, dividing income, risk, creating demand, meeting customer needs.
- Entrepreneurship is a learnable career option.

Practice questions

1. The person who starts a business by taking a risk is called a(n)
   (a) employee (b) customer (c) entrepreneur (d) investor only
2. Which of these is a myth about entrepreneurship?
   (a) Entrepreneurs are born, not made (b) Entrepreneurs create jobs (c) Entrepreneurs take risks (d) Entrepreneurs must meet customer needs
3. A restaurant that prepares food and serves it is a
   (a) product business (b) service business (c) hybrid business (d) non-profit
4. Paying workers, suppliers and rent from earnings is the entrepreneurial function of
   (a) creating demand (b) taking risks (c) making decisions (d) dividing income
5. Which quality helps an entrepreneur keep going after a failure?
   (a) Impatience (b) Perseverance (c) Fear of risk (d) Rigidity
6. The usual stages of an entrepreneurial career are
   (a) Expansion → Growth → Start-up (b) Growth → Start-up → Expansion (c) Start-up → Growth → Expansion (d) Start-up → Expansion → Closure
7. Write any four ways in which entrepreneurs help society.
8. Explain any three functions of an entrepreneur.

Answers: 1. c 2. a 3. c 4. d 5. b 6. c 7. see notes 8. see notes